

CONTRACT # _____
ORDINANCE NO. _____

ENTITLED: AN ORDINANCE GRANTING A FRANCHISE BY THE CITY OF CHEYENNE TO HIGH WEST ENERGY, INC., ITS SUCCESSORS AND ASSIGNS, THE RIGHT TO FURNISH, SELL AND DISTRIBUTE ELECTRICITY TO THE CITY AND TO ALL PERSONS, BUSINESSES, AND INDUSTRY WITHIN A PORTION OF THE CITY IN HIGH WEST’S CERTIFICATED TERRITORY AND THE RIGHT TO ACQUIRE, CONSTRUCT, INSTALL, LOCATE, MAINTAIN, OPERATE AND EXTEND INTO, WITHIN AND THROUGH SAID CITY ALL FACILITIES REASONABLY NECESSARY TO FURNISH, SELL AND DISTRIBUTE ELECTRICITY WITHIN THE CITY AND THE RIGHT TO MAKE REASONABLE USE OF ALL STREETS AND OTHER PUBLIC PLACES AND PUBLIC EASEMENTS AS HEREIN DEFINED AS MAY BE NECESSARY; AND FIXING THE TERMS AND CONDITIONS THEREOF.

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ARTICLE 1
DEFINITIONS

1.0 For the purpose of this franchise, the following words and phrases shall have the meaning given in this article. When not inconsistent with the context, words used in the present tense include the future tense, words in the plural number include the singular number, and words in the singular number include the plural number. The word “shall” is mandatory and “may” is permissive. Words not defined in this article shall be given their common and ordinary meaning.

1.1 “City” refers to and is the municipal corporation designated as the City of Cheyenne, Laramie County, Wyoming and includes the territory currently included, or which may in the future be included, within the boundaries of the City of Cheyenne.

1.2 “Company” refers to and is High West Energy, Inc. and its successors and assigns, but does not include its affiliates, subsidiaries or any other entity in which it has an ownership interest.

1.3 “Distribution Facilities” refers to and is only that portion of the Company’s electric system which delivers electric energy from the substation breakers to the point-of-delivery of the customer, including all devices connected to that system.

1.4 “Facilities” refers to and is all facilities reasonably necessary to provide electricity into, within and through the City and includes plants, works, systems, substations, transmission and distribution structures, lines, equipment, conduit, transformers, underground lines, meters, wires, cables and poles.

1.5 “Franchise Area” refers to and is that area within the City where High West Energy, Inc. currently holds a certificate of public convenience and necessity from the PSC to provide electric utility service, and includes the areas which may in the future be included within the boundaries of the City of Cheyenne upon approval by the City through future annexation ordinances so long as the area annexed is within High West Energy Inc.’s certificated territory. The “Franchise Area” is depicted on Exhibit A attached hereto and incorporated herein by this reference.

1.6 “Governing Body” refers to and is the legislative body of the City.

1.7 “Members” shall be used interchangeably with “consumers” and shall refer to members of the High West Energy, Inc. cooperative as defined by state law and the Bylaws of the Company.

1.8 “Public Easements” refers to and is public and dedicated easements created and available for use by public utilities for their facilities.

1.9 “Public Service Commission” or “PSC” refers to and is the Public Service Commission of the State of Wyoming or other authority succeeding to the regulatory powers of the Public Service Commission.

1.10 “Residents” refers to and includes all persons, businesses, industry, governmental agencies, and any other entity whatsoever, presently located or to be hereinafter located, in whole or in part, within the territorial boundaries of the City.

1.11 “Revenues” refers to and is those amounts of money which the Company receives from its customers from the sale of electricity under rates authorized by the Public Service Commission and represents amounts billed under such rates as adjusted for refunds, the net write-off of uncollectible accounts, corrections or other regulatory adjustments, and amounts allocated to members as capital credits.

1.12 “Streets and Other Public Places” refers to and is streets, alleys, viaducts, bridges, roads, lanes and other public right-of-way in said City.

ARTICLE 2
GRANT OF FRANCHISE

2.1 Grant of Franchise. The City of Cheyenne hereby grants to High West Energy, Inc., for the period specified in and subject to the conditions, terms and provisions contained in this franchise, a non-exclusive right to furnish, sell and distribute electricity to the City and its residents in the Franchise Area.

2.2 Street Lighting Service. The rights granted in this franchise encompass the non-exclusive franchise to provide street lighting service to the City and the provisions of this franchise apply with full and equal force to the street lighting service provided by the Company. Wherever reference is made to the sale of electricity or to the provision of electric service in this franchise, these references shall be deemed to include the provision of street lighting service. Wherever reference is made to Company facilities, equipment, system or plant in this franchise, this reference shall be deemed to include Company-owned street lighting facilities, equipment, system and plant.

2.3 Term of Franchise. This franchise shall take effect on _____, 2012. The term of this franchise shall be for twenty-five (25) years, beginning with the effective date of this franchise and expiring on _____, 2037.

ARTICLE 3
FRANCHISE FEE

3.1 Franchise Fee. In consideration for the grant of this franchise, the Company shall pay the City a franchise fee equal to three percent (3%) of all revenues derived from the sale of electricity to High West's customers within the City, but in no event shall the aggregate of such payments be less than \$10,000.00 per year.

3.2 Additional Philanthropic Commitment. Subject to Section 3.3, High West Energy, Inc. shall contribute an amount equal to the sum of \$2.50 per customer account for all customers of High West Energy, Inc., regardless of the location of the account, to charitable, educational, or other organizations within the City of Cheyenne. High West Energy, Inc. shall select the recipients of such donations and shall report annually to the City Clerk the amount of the payments and to whom they were made. While the annual amount will vary from year to year, it is estimated that total annual commitment will be approximately \$25,000.00.

3.3 Payment Contingency. The payments required in Paragraphs 3.1 and 3.2 are subject to the following:

- (a) High West Energy, Inc. shall not be liable for the payments required under Paragraph 3.1 or 3.2 above if it does not serve any customers within the City of Cheyenne.
- (b) High West Energy, Inc. shall make the payment required under Paragraph 3.2 for the calendar year 2012. For each year after 2012, High West Energy, Inc. will continue to make the contributions required under Paragraph 3.2 so long as it is authorized to provide service to additional property owners within its certificated territory that have been annexed into the City. If another utility is granted the right to serve customers in High West Energy, Inc.'s certificated territory, such contributions may be reduced at the sole discretion of High West Energy, Inc.'s board of directors, but in no event shall the annual aggregate of the contributions be less than \$15,000.00..

3.4 Payment Schedule. For the franchise fee owed on revenues received after the effective date of this franchise, payment shall be made in monthly installments not more than thirty (30) days following the close of the month for which payment is to be made. Initial and final payments shall be prorated for the portions of the months at the beginning and end of the term of this ordinance. All payments shall be made to the City Clerk. The City Clerk, or other authorized representatives, shall have access to the books of the Company for the purpose of

auditing or checking to ascertain that the franchise fee has been correctly computed and paid.

In the event an error by the Company results in an overpayment of the franchise fee to the City and said overpayment is in excess of \$5,000.00, credit for the overpayment shall be spread over the same period the error was undiscovered. If the overpayment is \$5,000.00 or less, credit shall be taken against the next payment.

Payments required under Paragraph 3.2 shall be made within sixty (60) days following the close of High West Energy, Inc.'s fiscal year. Within a reasonable time thereafter, High West Energy, Inc. shall report to the City Clerk the amount and recipients of such payments.

3.5 Change of Franchise Fee and Other Franchise Terms. The Company shall, upon request, report to the City within sixty (60) days of the execution of a subsequent franchise granted by another municipality within the State of Wyoming or of any event that could have a significant financial impact on the consideration to be paid by the Company to the City hereunder. If the Governing Body decides the consideration shall be changed, it shall provide for such change by Ordinance; provided, however, that the consideration is not higher than the highest consideration paid by the Company to any municipality within the State of Wyoming. For purposes of this section, "consideration" means the franchise fee established in Article 3, Section 1 and also includes any other provision which is of similar significant financial benefit to the City.

3.6 Franchise Fee Payment in Lieu of Other Fees. Payment of the franchise fee by the Company is accepted by the City in lieu of any occupancy tax, license tax, permit charge, inspection fee, or similar tax on the privilege of doing business or in connection with the physical operation thereof, but does not exempt the Company from any lawful taxation upon its property or any other tax not related to the franchise or the physical operation thereof and does not exempt the Company from payment of head taxes or other fees or taxes assessed generally upon businesses.

ARTICLE 4 SUPPLY, CONSTRUCTION AND DESIGN

4.1 Supply of Electricity. The Company shall take all reasonable and necessary steps to provide an adequate supply of electricity to its customers at the lowest reasonable cost consistent with long-term reliable supplies. If the supply of electricity to its customers should be interrupted, the Company shall take all necessary and reasonable actions to restore such supply within the shortest practicable time.

4.2 Restoration of Service. In the event the Company's electric system, or any part thereof, is partially or wholly destroyed or incapacitated, the Company shall use due diligence to restore its system to satisfactory service within the shortest practicable time.

4.3 Obligations Regarding Company Facilities. The Company shall install, maintain, repair, renovate and replace its facilities with due diligence in a good and workmanlike manner and the Company's facilities will be of sufficient quality and durability to provide adequate and efficient electric service to consumers. Company facilities shall not interfere with the City's water mains, sewer mains or other municipal use of streets and other public places. The Company shall erect and maintain its facilities so as to minimize interference with trees and other natural features. Company facilities shall be installed in public easements so as to cause a minimal amount of interference with such property.

4.4 Excavation and Construction. All excavation and construction work done by the Company shall be done in a timely and expeditious manner which minimizes the inconvenience to the public and individuals. All public and private property whose use conforms to restrictions in public easements disturbed by Company excavation or construction activities shall be restored by the Company at its expense to substantially its former condition.

4.5 Relocation and Removal of Company Facilities. Any relocation or removal of the Company's facilities in any street or other public place required, caused or occasioned by any City project shall be at the cost of the Company. Relocation OR REMOVAL shall be completed

within a reasonable time from the date when the City makes its request, such time to be established by the Company and approved by the City. In the event abandoned facilities have to be removed, said removal shall be at the cost of the Company. The Company shall be granted an extension of time of completion equivalent to any delay caused by conditions or circumstances not under its control provided that the Company proceeds with due diligence at all times.

The Company shall comply with any City ordinances and the Unified Development Code related to relocating above-ground facilities and such facilities shall be above ground unless contrary to such ordinances. If the City requires the facilities to be undergrounded for aesthetic reasons, the City agrees to pay the additional cost of moving such facilities placed underground.

4.6 Reimbursement of Cost. The Company shall reimburse the City for all direct and necessary costs reasonably incurred by the City as the direct result of the Company's failure to perform construction in compliance with this Article 4.

4.7 City Not Required to Advance Funds. Upon receipt of the City's authorization for billing and construction, the Company shall extend its facilities to provide electric service to the City for municipal uses within the City limits or for any major municipal facility outside the City limits, and within the Company certificated service area, without requiring the City to advance funds prior to construction.

4.8 Technological Improvements. The Company shall generally introduce and install, as soon as practicable, electrical energy technological advances in its equipment and service within the City when such advances are technically and economically feasible and are safe and beneficial to the City and its residents. Upon request by the City, the Company shall review and promptly report advances which have occurred in the electric utility industry that have been incorporated into the Company's operations in the City in the previous year or will be so incorporated in the six (6) months following the City's request.

ARTICLE 5 COMPLIANCE

5.1 City Regulation. The City expressly reserves, and the Company expressly recognizes, the City's right and duty to adopt, from time to time, in addition to the provisions herein contained, ordinances, rules and regulations as may by the City be deemed necessary in the exercise of its police power for the protection of the health, safety and welfare of its citizens.

5.2 Compliance with City Requirements. The Company shall comply with all City requirements regarding curb and pavement cuts, excavating, digging and related construction activities. The Company and City shall submit a list of current and planned projects which may require street cuts, excavation, digging and related construction activities as said information becomes available. City and Company shall meet annually to discuss annual and long-term planning. Except for emergencies, the City may require that all installations be coordinated with the City's street improvement programs. The City Director of Public Works shall be the City's agent for inspection and for compliance with City ordinances and regulations on any such projects.

5.3 City Review of Construction and Design. Prior to construction of any significant facilities for electrical energy, any transmission lines or generating plant, building, substation, or similar structure within the City, if requested by the City, the Company shall furnish to the City the plans for such facilities. In addition, the Company shall assess and report on the impact of such proposed construction on the City environment. Such plans and reports may be reviewed by the City to ascertain, *inter alia*, (1) that all design and construction are consistent with industry standards, (2) that all local, state and federal laws and regulations are complied with, (3) that aesthetic and good planning principles have been given due consideration, and (4) that adverse impact on the environment has been minimized.

5.4 Compliance with PSC Regulations. The electrical energy which the Company distributes and all services provided in connection therewith shall conform with all applicable industry standards as well as the standards promulgated by the Wyoming Public Service

Commission and with the tariff provisions of the Company setting standards, as the same may be amended from time to time.

5.5 Compliance with Air and Water Pollution Laws. The Company's facilities shall meet the standards required by applicable federal and state air and water pollution laws.

5.6 Inspection. The City shall have the right to inspect at all reasonable times any portion of the Company's system used to serve the City and its residents. The City shall also have access to Company records for the purpose of determining Company compliance with this franchise. The Company agrees to cooperate with the City in conducting the inspection and to correct any discrepancies affecting the City's interest in a prompt and efficient manner.

ARTICLE 6 PUBLIC SERVICE COMMISSION

6.1 Public Service Commission Regulation. The City and the Company recognize that the lawful provisions of the Company's tariffs on file and in effect with the Public Service Commission which are consistent with the restrictions and limitations of Article 13, Sec. 4 of the Wyoming Constitution and WYO. STAT. Section 15-1-103(a)(xxxiii) (2011) regarding the rights of municipalities concerning franchises, are controlling over any inconsistent provision in this franchise dealing with the same subject matter. In the opinion of the Company, no provision of this franchise is inconsistent with any of the currently effective provisions of the Company's tariffs.

ARTICLE 7 REPORTS TO CITY

7.1 Reports on Company Operations. The Company shall submit reasonable and necessary reports containing or based on information readily obtainable from the Company's books and records as the City may request with respect to the operations of the Company under this franchise and provide the City with a list of real property within the City which is owned by the Company.

7.2 Copies of Tariffs, All PSC Filings. The Company shall keep on file in a local Company office, all tariffs, rules, regulations and policies approved by the Wyoming Public Service Commission ("PSC") relating to service by the Company to the City and its residents. Upon request by the City, the Company shall provide the City with copies of filings affecting said service which it makes with the Wyoming PSC.

7.3 Location Maps. The Company shall annually provide the City Engineer's Office two copies of the Company's standard facilities mapping for common everyday use showing the location of above-ground and underground electric facilities within the City of Cheyenne and immediate vicinity. These maps are not to be used for locating underground facilities for excavation.

ARTICLE 8 USE OF COMPANY FACILITIES

8.1 Use By Others. The Company will allow others holding a franchise from the City, except for electric service, to so utilize such poles and suitable overhead structures upon reasonable terms and conditions to be agreed upon by the Company and such holder of a franchise from the City; provided, however, the Company shall assume no liability nor shall it be put to any additional expense in connection therewith and the use of said poles and structures by the City or others holding a franchise from the City shall be in such a manner as not to constitute a safety hazard or to interfere unnecessarily with the Company's use of same.

8.2 Underground Conduit. If the Company installs new electric underground conduit or opens a trench or replaces such conduit, the Company shall provide adequate advance notice to permit additional installation of similar conduit and pull wire for the City. If the City wants

additional similar conduit and pull wire installed, it will so notify the Company and provide similar conduit and pull wire at its expense to the Company which will install it without further expense to the City provided that such action by the City will not unnecessarily interfere with the Company's facilities or delay the accomplishment of the project.

ARTICLE 9 INDEMNIFICATION OF THE CITY

9.1 City Held Harmless. The Company shall indemnify, defend and save the City harmless from and against all liability or damage and all claims or demands whatsoever in nature arising out of the operations of the Company within the City pursuant to this franchise and the securing of and the exercise by the Company of the franchise rights granted in this ordinance and shall pay all reasonable expenses arising therefrom. The City will provide prompt written notice to the Company of the pendency of any claim or action against the City arising out of the exercise by the Company of its franchise rights. The Company will be permitted, at its own expense, to appear and defend or to assist in defense of such claim. Notwithstanding any provision hereof to the contrary, the Company shall not be obligated to indemnify, defend or hold the City harmless to the extent any claim, demand or lien arises out of or in connection with any negligent act or failure to act of the City or any of its officers or employees.

9.2 Payment of Expenses Incurred by City in Relation to Ordinance. At the City's option, the Company shall pay in advance or reimburse the City for expenses incurred in publication or notices and ordinances and for photocopying of documents arising out of the negotiations or process for obtaining the franchise.

ARTICLE 10 UNDERGROUND CONSTRUCTION

10.1 Underground Electrical Distribution Lines in New Areas. The Company will place newly constructed electrical distribution lines underground to serve new residential subdivision areas in accordance with the Company's tariffs and City subdivision regulations.

10.2 Cooperating with Other Utilities. When undertaking a project of undergrounding, the City and the Company shall work with other utilities or companies which have their lines overhead to attempt to have all lines undergrounded as part of the same project. When other utilities or companies are placing their lines underground, the Company shall cooperate with these utilities and companies and undertake to underground Company facilities as part of the same project where feasible and if required by City ordinance. The Company shall not be required to pay the costs of any other utility in connection with work under this section.

ARTICLE 11 TRANSFER OF FRANCHISE

11.1 Consent of City Required. The Company shall not transfer or assign any rights under this franchise to a third party, excepting only corporate reorganizations of the Company not including a third party, unless the City shall approve in writing such transfer or assignment. Approval of the transfer or assignment shall not be unreasonably withheld.

ARTICLE 12 PURCHASE OR CONDEMNATION

12.1 City's Right to Purchase or Condemn. The right of the City to construct, purchase or condemn any public utility works or ways, and the rights of the Company in connection therewith, as provided by the Wyoming Constitution and statutes, are hereby expressly reserved.

12.2 Continued Cooperation by Company. In the event the City exercises its option to purchase or condemn, the Company agrees that, at the City's request, it will continue to supply any service it supplies under this franchise, for the duration of the term of this franchise pursuant to terms and conditions negotiated for such continued operation.

ARTICLE 13
REMOVAL OF COMPANY FACILITIES AT END OF FRANCHISE

13.1 Limitations on Company Removal. In the event this franchise is not renewed at the expiration of its term or the Company terminates any service provided herein for any reason whatsoever, and the City has not purchased or condemned the system and has not provided for alternative electrical service, the Company shall have no right to remove said system pending resolution of the disposition of the system. The Company further agrees it will not withhold any temporary services necessary to protect the public and shall be entitled only to monetary compensation in no greater amount than it would have been entitled to were such services provided during the term of this Franchise. Only upon receipt of written notice from the City stating that the City has adequate alternative electrical energy sources to provide for the people of the City shall the Company be entitled to remove any or all of said systems in use under the terms of this franchise.

ARTICLE 14
FORFEITURE

14.1 Forfeiture. Both the Company and the City recognize there may be circumstances whereby compliance with the provisions of this franchise is impossible or is delayed because of circumstances beyond the Company's control. In those instances, the Company shall use its best efforts to comply in a timely manner and to the extent possible. If the Company fails to perform any of the terms and conditions of this franchise and such failure is within the Company's control, the City, acting by and through its Governing Body, may determine, after hearing, that such failure is of a substantial nature. Upon receiving notice of such determination, the Company shall have a reasonable time in which to remedy the violations. If during said reasonable time corrective actions have not been successfully taken, the City, acting by and through its Governing Body, shall determine whether any or all rights and privileges granted to the Company under this ordinance shall be forfeited.

14.2 Judicial Review. Any such declaration of forfeiture shall be subject to judicial review as provided by law.

14.3 Other Legal Remedies. Nothing herein contained shall limit or restrict any legal rights that the City or the Company may possess arising from any alleged violation of this franchise.

14.4 Continued Obligations. Upon forfeiture, the Company shall continue to provide service to the City and its residents in accordance with the terms hereof until the City makes alternative arrangements for such service. If the Company fails to provide continued service, it shall be liable for damages to the City.

ARTICLE 15
AMENDMENTS

15.1 Amendments to Franchise. At any time during the term of this franchise, the City, through its Governing Body, or the Company may propose amendments to this franchise by giving thirty (30) days written notice to the other of the proposed amendment(s) desired and both parties thereafter will negotiate within a reasonable time in good faith in an effort to agree on mutually satisfactory amendment(s).

ARTICLE 16
SMALL POWER PRODUCTION AND COGENERATION

16.1 Company to Purchase. The City expressly reserves the right to engage in the production of electricity. The Company agrees to negotiate for the purchase of City-generated power in accordance with its tariffs and applicable Public Service Commission Rules and Regulations; provided, however, that all purchases shall be subject to the Company's power

purchase contracts in place at the time City-generated power becomes available.

ARTICLE 17
MISCELLANEOUS

17.1 Successors and Assigns. The rights, privileges, franchises and obligations granted and contained in this ordinance shall inure to the benefit of and be binding upon High West Energy, Inc., its successors and assigns.

17.2 Third Parties. Nothing contained in this franchise shall be construed to provide rights to third parties.

17.3 Notices. Notices required hereunder shall be in writing and forwarded by certified mail or hand delivery to the persons and addresses as hereinafter stated, unless the persons and addresses are changed at the written request of either party, delivered in person or by certified mail. Until any such change shall hereafter be made, notices shall be sent to the City Clerk and to the Company's President. Currently the addresses are as follows:

For the City of Cheyenne:

City Clerk's Office
2101 O'Neil Avenue
Cheyenne, WY 82001

For the Company:

Brian Heithoff
General Manager
High West Energy, Inc.
P.O. Box 519
Pine Bluffs, WY 82082

17.4 Severability. Should any one or more provisions of this franchise be determined to be illegal or unenforceable, all other provisions nevertheless shall remain effective; provided, however, the parties shall forthwith enter into good faith negotiations and proceed with due diligence to draft a term that will achieve the original intent of the parties hereunder.

17.5 Entire Agreement. This franchise constitutes the entire agreement of the parties. There have been no representations made other than those contained in this franchise.

ARTICLE 18
APPROVAL

18.1 City Approval. This grant of franchise shall not become effective unless approved by a majority vote of the Governing Body.

18.2 Company Approval. The Company shall file with the City Clerk its written acceptance of this franchise and of all of its terms and provisions within ten (10) days after the adoption of this franchise by the Governing Body. If the Company shall fail to timely file its written acceptance as herein provided, this franchise shall be and become null and void.

THIS ORDINANCE SHALL BE IN FULL FORCE AND EFFECT UPON ITS
PASSAGE AND PUBLICATION.

FIRST READING: _____

SECOND READING: _____

THIRD AND FINAL READING: _____

(SEAL)

Rick Kaysen, Mayor

ATTEST:

PUBLISHED: Wyo. Tribune Eagle

_____, City Clerk